INTRODUCTION TO ENTREPRENEURSHIP

Unit One: Foundations, Concepts, Theories, and Types





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Learning Objectives

- Define entrepreneurship etymologically.
- Differentiate entrepreneurs, managers, and intrapreneurs.
- Explore core academic theories.
- Classify various types of ventures.

What is Entrepreneurship?

- Entrepreneurship is the capacity of a person to assume risk, accountability and challenges with a view to explore opportunities, disrupt market norms and create values.
- The word “Entrepreneurship” originally evolved from a French expression called “entreprendre”. Etymologically, "entrepreneurship" denotes “taking from below” or “undertaking”

Entrepreneur vs. Manager

Entrepreneur:

- Focuses on external market trends.
- Assumes financial risk and uncertainty.
- Aims for disruptive innovation and wealth creation.

Manager:

- Focuses on internal day-to-day operations.
- Works as a salaried employee.
- Emphasizes resource optimization, planning, and control.

Major Theories of Entrepreneurship

- **Innovation Theory** (Schumpeter): Entrepreneurs are "engines of growth" introducing novel resource combinations.
- **Locus of Control Theory** (Rotter): Successful entrepreneurs possess internal control, believing they dictate their own outcomes.
- **Need for Achievement Theory** (McClelland): Motivated primarily by a psychological drive to succeed (\(N\text{-}Ach\)) rather than money.
- **Risk & Uncertainty Theory** (Knight): Profit serves as the specific reward for bearing non-insurable economic uncertainties.
- **Social Change Theory** (Hagen): Marginalized minority groups drive economic change to reclaim lost social status.
- **Opportunity-Based Theory** (Drucker/Stevenson): Entrepreneurs actively search for,

Modern Theories of Entrepreneurship

- **Entrepreneurial Alertness (Kirzner): A unique "antenna" to identify gaps and imperfections overlooked by others.**

- **Effectuation Theory (Sarasvathy): Acting based on existing resources and affordable losses rather than predicting the future.**

- **Bricolage Theory (Lévi-Strauss): Improvising and building solutions using whatever material or immaterial means are immediately available.**

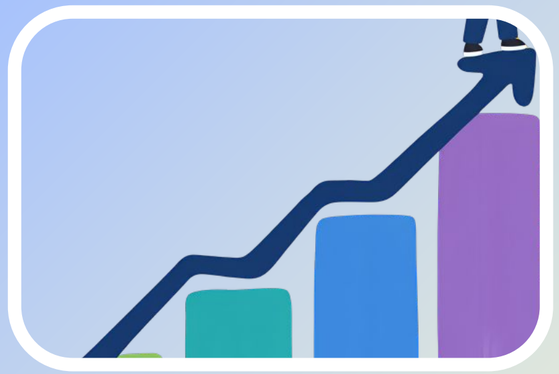
Types of Entrepreneurship
(traditional and corporate)



Small Business: Local family-managed ventures funded via personal savings to maintain basic livelihood.



Large Company: Established corporate firms using structured \(R\&D\) to maintain an ongoing competitive edge.



Scalable Start-up: Innovative ideas backed by venture capital aiming for rapid scale and high profits.

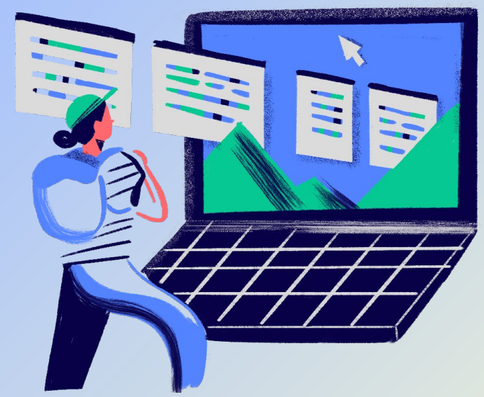
Specialized Types of Entrepreneurship



Social: Driven by ethical principles to prioritize sustainable social changes over absolute profits.



Environmental (Ecopreneurship): Commercial ventures leveraging green alternatives to prioritize planet welfare.



Technopreneurship: Highly technical ventures heavily relying on cutting-edge software or hardware innovations.

EVOLUTION OF ENTREPRENEURSHIP

- Change agents
- personality traits
- opportunity recognition
- networking and institution
- constructivism

EVOLUTION OF ENTREPRENEURSHIP

Entrepreneur as a Rational Agent :

Most theorists, except Schumpeter and Kirzner, visualized entrepreneurs as performing reactive functions in response to changes in external business environment. Nevertheless, the idea of an entrepreneur lacked clarity and consensus.

From rational agent to entrepreneurial personality traits:

trait theories, personality, and cognitive processes in psychology were used to identify characteristics and psychological attributes of the entrepreneurs relevant to business venturing. According to McClelland (1965), an entrepreneur's personality is defined by their need for success or self realization.

EVOLUTION OF ENTREPRENEURSHIP

From Personality Trait to Opportunity Recognition:

According to Shane & Venkataraman (2000), the discovery of business opportunities and their exploitation are two connected processes that constitute entrepreneurship. Opportunity development is a continuous process that requires proactive creation and development of an opportunity from perceiving an idea to development of complete business plan.

From the opportunity to institutions and network:

The development of organisations is dependent on the sociocultural environment. Sociocultural values are a crucial component of entrepreneurial actions because they foster an environment where taking risks, innovating, and being self-reliant are supported and encouraged. This approach of entrepreneurship was developed using theories from the network, marginalisation, role, population ecology, and institutional theories.

EVOLUTION OF ENTREPRENEURSHIP

Emergence of Constructivist and Integrating approach:

Busenitz et al. (2003) highlighted the importance of examining the unique connections among environment, people, organisational capacity, and entrepreneurial opportunity. According to Watson (2013), integration of social sciences disciplines like history, philosophy and sociology would encourage the diversification of the field of entrepreneurship to focus more broadly on a phenomenon like business in socio-institutional contexts. A constructivist framework calls for understanding the relationship between creation of new value (like innovation or formation of new venture) with the individual or entrepreneur.

THANK YOU

What is Innovation Entrepreneurship?

What is research Entrepreneurship?